
Kick-Off Meeting

QFin Lab
Term 2025/2026

Industry Partner:
Georg Cejnek, Stephan Kranner
ZZ Vermögensberatung (Schweiz) AG

Who we are?

Dr. Georg Cejnek

- Doctorate Financial Economics (WU)
- Certificate in Quantitative Finance (CQF)
- Head of Research
- Managing a Quantitative Risk Premia Fund



Stephan Kranner, PhD

- PhD in Finance (WU Wien)
- QFin (WU Wien)
- Asset Management & Research (ZZ)
- Managing an Equity and a Quantitative Risk Premia Fund



Literature

- Robert D Arnott, Vitali Kalesnik, Juhani T Linnainmaa, Factor Momentum, *The Review of Financial Studies*, Volume 36, Issue 8, August 2023, Pages 3034–3070,
 - <https://doi.org/10.1093/rfs/hhad006>
 - Also see Appendix
- Ehsani, S., & Linnainmaa, J. T. (2022). Factor momentum and the momentum factor. *The Journal of Finance*, 77(3), 1877-1919.
 - [Factor Momentum and the Momentum Factor - EHSANI - 2022 - The Journal of Finance - Wiley Online Library](#)

Data

1) Various Factors:

- [Open Source Asset Pricing](#)
 - Chen, Zimmermann
- [Global Factor Data](#)
 - Jensen, Kelly, Pedersen
- Alternative:
 - [TidyFinance](#)

2) Single Stocks:

- WRDS / CRSP / etc.
 - See papers

Starting point: Factor Momentum vs. Classical Momentum strategies

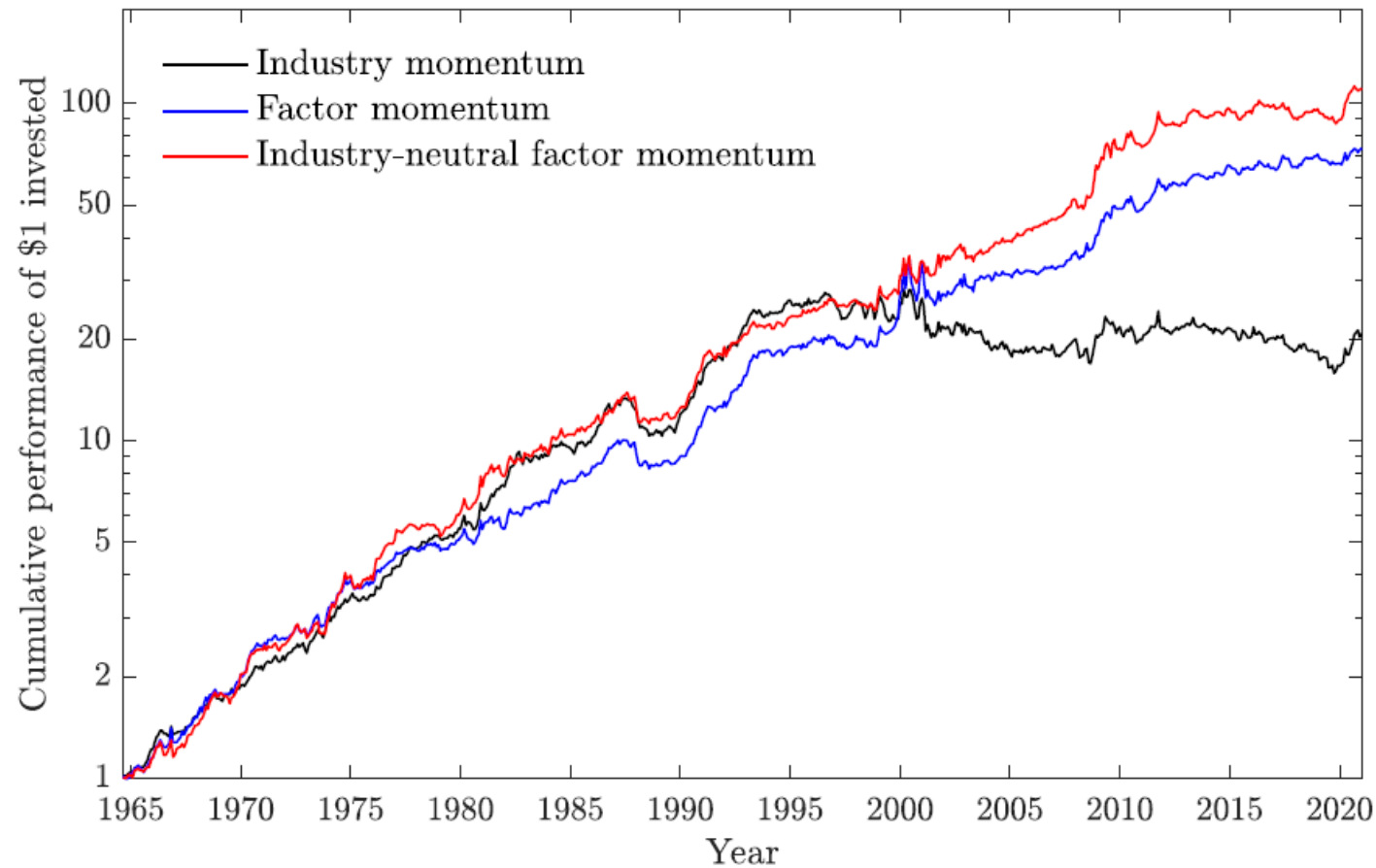


Figure A1
Performance of factor and industry momentum strategies, August 1964–December 2021

Source: Appendix - Robert D Arnott, Vitali Kalesnik, Juhani T Linnainmaa, Factor Momentum, *The Review of Financial Studies*, Volume 36, Issue 8, August 2023, Pages 3034–3070

Outline Lab: Part 1 – Broader View (strategy level)

Part 1: - Does factor momentum (still) work?

- Data: Use Factor data from the sources
 1. (Partial) Replication of the paper
 - Does Factor Momentum outperform Classical Momentum (see chart)?
 2. Extension of data
 - Does it still work?
 3. More detailed analysis of the setup in which it works (or does not)?
 - Correlations / time-varying contributions / robustness of contributions / drawdowns vs. booms / etc.
 - Are all (47) strategies needed or are there a couple factors that contribute most?
 - Identify the most promising strategies also regarding practical implementation
 - Look-back Windows, Vol-Scaling, etc.
 - Asset Allocation: Adding factor momentum to an e.g. 60/40 portfolio?

Outline Lab: Part 2 – More detailed View (single stocks level)

Part 2: - Focus on the practical implementation of factor momentum strategy

- Data: WRDS / CRSP / etc.
- 1. Build the most promising (or FF 5 factor strategies) yourselves with the relevant single stocks data
 - Replicate the factors from the platforms first, to see whether your code is correct
- 2. Adapt the factor and/or selection according to real-world constraints, such as
 - Industry composition (Industry-diversification)
 - Shorting constraints / Bid-Asks / turnover / withholding tax / etc.
- 3. Actual Selection stock selection for implementation
 - Asset Allocation: Adding to a 60/40 benchmark beneficial?

Next Steps

Specific:

- Make yourself familiar with the data / topic
 - Check 2 data sets, e.g.
 - Correlation among similar strategies
 - Regressions: Factors $\sim$ 3 FF or 5 FF+Mom
- Don't underestimate the time it takes to get a good database

General:

- Do not hesitate to ask questions in between our meetings
- This might help to clarify issues early and saves you time